ACCOUNTING POLICY PAPER
DISCOUNTING POLICY

SOCIAL HEALTH AUTHORITY

22nd May 2026

Prepared by: **Chief Executive Officer**
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Approved by: **Board of Management**

IFRS 17 Insurance Contracts establishes principles for the recognition, measurement, presentation and disclosure of insurance contracts within the scope of the Standard. The objective of IFRS 17 is to ensure that an entity provides relevant information that faithfully represents those contracts. This information gives a basis for users of financial statements to assess the effect that insurance contracts have on the insurer's financial position, financial performance and cash flows.

DOCUMENT TRACKING

Document History

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This Document Has Been Submitted To

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OUR REF

Social Health Authority\IFRS 17 Implementation Support\Social Health Authority- Accounting Policy paper – Discounting Policy_(220526)

DOCUMENT PURPOSE

Submission to the Management of Social Health Authority.

DOCUMENT OWNERSHIP

The owner of this document is Social Health Authority.

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ABBREVIATIONS & DEFINITIONS

NAME	DEFINITION
GMM	General Measurement Model
IASB	International Accounting Standards Board
IFRS	International Financial Reporting Standard
IRA	Insurance Regulatory Authority, Kenya
KAFS	Kenbright Actuarial and Financial Services Limited
LIC	Liability for Incurred Claims
LRC	Liability For Remaining Coverage
NSE	Nairobi Securities Exchange
P&L	Profit and Loss Account
PAA	Premium Allocation Approach
SHA	Social Health Authority

1 INTRODUCTION

1.1 Social Health Authority ('SHA') is a statutory agency established under section 4 of the Social Health Authority Act, 2023, which enacted on **22nd November 2023** to succeed the National Health Insurance Fund (NHIF) as Kenya's primary health coverage provider. NHIF ceased its operation on **30th June 2024**, with its final admissions date being **30th September 2024**. The transition period, spanning from November 2023 to mid-2024, involved the legal transfer of assets, liabilities and functions. SHA officially commenced its operation on **1st October 2024.**

1.2 SHA is mandated to pool contributions from individuals, employers, and the government inorder to purchase healthcare services from empaneled and contracted healthcare providers and pay for the provision of quality healthcare services to members and their beneficiaries.

1.3 Social Health Authority manages the following funds:

- **a) Primary Health Care Fund (PHCF)-** Covers basic health services.
- **b) Social Health Insurance Fund (SHIF)** – Covers broader health insurance coverage.
- **c) Public Officer Medical Scheme Fund -** Covers the medical needs of Public Officers in Kenya
- **d) Emergency, chronic and Critical Illness Fund (ECCF)** – Covers serious and urgent health conditions.

1.4 This policy paper documents the interpretation of SHA with respect to discounting as required by the IFRS 17 Standard and its application to insurance contracts it underwrites.

Background

1.5 Issued by the International Accounting Standards Board (IASB), IFRS 17 is an international financial reporting standard that sets out the requirements for accounting for insurance contracts. The standard aims to provide a more transparent and comparable view of an insurer's financial position and performance.

1.6 One of the key aspects of IFRS 17 is the requirement to discount future cash flows to present value, which affects the measurement of insurance contract liabilities.

1.7 Paragraph 36 of IFRS 17 provides that:

> An entity will adjust the estimates of future cash flows to reflect the time value of money and the financial risks related to those cash flows, to the extent that the financial risks are not included in the estimates of cash flows.

Objective

1.8 The main objective of developing this discounting policy is to ensure accurate and consistent valuation of insurance contract liabilities in compliance with IFRS 17.

1.9 This policy aims to enhance financial reporting transparency, promote internal consistency and industry comparability, and reflect the true economic value of liabilities by adjusting for liquidity and risks.

1.10 It will support strategic decision-making, effective risk management, and capital allocation for SHA to promote the entity's financial stability and reliability.

Scope

1.11 This discounting policy will establish the discounting approach that will be used to value the liabilities arising from SHA's insurance contracts, as provided for under IFRS 17.

2 METHODOLOGY AND APPROACH

Overview of Discounting Under IFRS 17

2.1 As provided under the Standard, the discount rates applied to the estimates of the future cash flows in this discounting policy will:

a) reflect the time value of money, the characteristics of the cash flows and the liquidity characteristics of the insurance contracts;

b) be consistent with observable current market prices (if any) for financial instruments with cash flows whose characteristics are consistent with those of the insurance contracts, in terms of, for example, timing, currency and liquidity; and

c) exclude the effect of factors that influence such observable market prices but do not affect the future cash flows of the insurance contracts.

Discounting Approach

2.2 IFRS 17 has provided two approaches for the determination of discount rates for insurance companies as follows:

a) **Bottom-up approach**- Starts with risk-free rates (e.g., government bond yield curve) and adds an illiquidity premium to account for the lower liquidity of insurance contracts.

b) **Top-down approach**- Considers the overall risk profile of the entire insurance portfolio to derive discount rates and eliminates factors that are not relevant to the insurance contract.

2.3 SHA has determined that the derivation of the yield curve will be performed using the bottom-up approach.

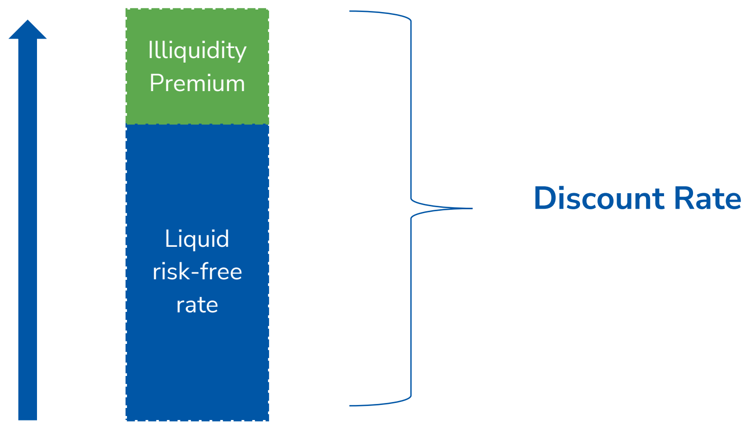
Discount Rate Determination Using the Bottom-Up Approach

2.4 Using the bottom-up approach, discount rates are determined by adjusting a liquid risk-free yield curve to reflect the differences between the liquidity characteristics of the financial instruments that underlie the rates observed in the market and the liquidity characteristics of the insurance contracts.

2.5 It builds the discount rate from the ground up, considering the characteristics of the investments with minimal risk and then adjusting for the specific features of the insurance contracts.

2.6 The calculation of discount rates under the bottom-up approach are illustrated in the formula below:

Discount Rate= Risk-Free Rate + Illiquidity Premium



Illiquidity Premium

2.7 In the context of IFRS 17, the illiquidity premium represents the additional return investors expect for holding assets that are less liquid as opposed to highly secure investments like government bonds.

2.8 This premium accounts for the extra risk associated with holding assets that are less liquid, ensuring a fair, accurate and transparent valuation of insurance contracts.

2.9 The factors that may affect the illiquidity premium include:

a) **Marketability of the asset-** Less liquid assets, such as private equity or real estate, have higher illiquidity premiums as they are harder to sell compared to publicly traded securities.

b) **Maturity of the asset-** Assets with longer maturities are generally considered less liquid, as there is a longer period until they can be sold or redeemed.

c) **Investor demand-** Increased demand for an asset can lead to a lower illiquidity premium, as it becomes easier to sell.

2.10 The Appointed Actuary will determine the illiquidity premium for different groups of insurance contracts based on their liquidity classification.

2.11 To derive the illiquidity premium, the spread between the yields of less liquid assets (the insurance contracts) and highly liquid, risk-free assets (government bonds) will be calculated.

2.12 This spread (illiquidity premium) is derived from the following formula:

Illiquid Premium= Yield of Illiquid Asset-Yield of Risk-Free Asset

2.13 The illiquidity premium is added to the risk-free rate (the interest rate on highly secure government bonds) to determine the discount rate used for valuing insurance liabilities under IFRS 17.

2.14 By including the illiquidity premium, the discount rate will reflect a more realistic return that considers the reduced liquidity of insurance contracts compared to risk-free investments.

2.15 This approach also provides a more accurate depiction of the entity's financial health and its obligations to policyholders.

Risk-Free Rate

2.16 The risk-free term structure will be based on the unadjusted term-dependent gross redemption Yield Curve published by the Nairobi Securities Exchange (NSE) in line with the statutory prescription by the Insurance Regulatory Authority (IRA) and will aim to ensure consistency with readily available market data.

2.17 The NSE Yield Curve is used as the risk-free yield curve because it:

a) represents Kenyan market conditions. It reflects the interest rates available on highly secure Kenyan government bonds, which are considered to have minimal default risk.

b) aligns with the Insurance Regulator's prescription.

c) provides readily available and verifiable data for the P&L statement.

Adjustments to the Discount Rate

Liquidity Adjustments

2.18 Liquidity reflects the ability to sell or liquidate an asset quickly without significantly affecting its price.

2.19 The entity views the liquidity of insurance contracts based on the ability of the policyholder to cancel the policy before the expiry date and receive value without significant exit costs. The easier it is to cancel the policy, the more liquid the policy.

2.20 However, under SHA cancellation of policies does **NOT** apply.

Credit Risk Adjustments

2.21 Credit risk refers to the possibility of a borrower defaulting on their obligation.

2.22 While the primary basis for the discount rate is the risk-free rate, in certain scenarios, adjustments for credit risk may be necessary. However, given the reliance on the NSE yield curve, which is considered to reflect minimal credit risk, this adjustment is typically minimal or omitted.

3 SHA POLICY CHOICE

No discounting

3.1 Due to the short-term nature of policies underwritten by SHA, **NO DISCOUNTING** will be applied.

4 RELEVANT IFRS 17 TEXT

Refer to IFRS 17 available online at the address below

https://www.ifrs.org/content/dam/ifrs/publications/pdf-standards/english/2022/issued/part-a/ifrs-17-insurance-contracts.pdf?bypass=on

This policy has been adopted and signed by the Board of Management of Social Health Authority on this ________ day of ______________ 2026

Chief Executive Officer: ________________________________

Signature: ________________________________

Appointed Actuary: Ezekiel Macharia

Signature: ________________________________

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